

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

EPIC FREIGHT SOLUTIONS LLC and
OMNI LOGISTICS LLC,
RESPONDENTS.

**RESPONDENT OMNI LOGISTICS, LLC'S AND
RESPONDENT EPIC FREIGHT SOLUTIONS LLC'S JOINT
MEMORANDUM OF EXCEPTIONS TO INITIAL DECISION**

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Respondent Omni Logistics, LLC (“Omni”) and Respondent Epic Freight Solutions LLC (“Epic”) (collectively, “Respondents”), through counsel and pursuant to 46 C.F.R. § 502.227(a)(1), respectfully submit their exceptions to the September 12, 2024 Initial Decision of Chief Administrative Law Judge Erin Wirth, as follows:

I. INTRODUCTION

For purposes of this filing, Respondents take exception to only a small portion of the otherwise well-reasoned and thorough 55-page Initial Decision. The Presiding Officer’s conclusion that “Respondent’s acted unreasonably by threatening to hold containers and holding three containers to extract payments for other containers” (Initial Decision at 38), as well as other findings of fact and conclusions of law related to Respondents’ allegedly “coercive collection practices,” are incorrect as a matter of law and are not supported by the record. The Presiding Officer’s conclusion neglects to scrutinize carefully the facts in the record, inexplicably finding only that “the delay in delivery [of three containers], coupled with the emails, support a finding of coercive collection practices.” (Initial Decision at 37). Additionally, as a matter of law, this conclusion ignores centuries-old precedent providing that parties may frame their contracts of affreightment as they please. This brief narrowly addresses the flawed “coercive collection practices” findings in the Initial Decision.

II. ERRONEOUS FINDINGS OF FACTS AND CONCLUSIONS OF LAW IN THE INITIAL DECISION.

The Initial Decision incorrectly concludes that “Respondents’ acted unreasonably by threatening to hold containers and holding three containers to extract payments for other containers.” (Initial Decision at 38). To reach this conclusion, the Presiding Officer relied on a supposed “delay in delivery” coupled with certain emails in which Respondents allegedly threatened to withhold cargo. (*Id.* at 37.) Inferences based on these facts, the Presiding Officer

found, were sufficient to determine that “the preponderance of the evidence supports finding that these three containers were held to coerce payment for unrelated containers, which is unreasonable.” (*Id.*)

Further, without evaluating whether Respondents’ alleged “coercive collection practices” actually occurred on a normal, customary, and continuous basis, the Presiding Officer also incorrectly concluded that, because Epic included a contractual lien in its tariff and in its terms and conditions, “these coercive collection practices were part of their written policies and procedures,” which is enough to constitute a “practice” under the Shipping Act. (*Id.* at 45.) Further, in a similar conclusory fashion, the Presiding Officer mistakenly held that “[t]he unreasonable detention of these [three] containers is the proximate cause of the detention, chassis, and storage charges.” (*Id.* at 46.) Based on Respondents’ so-called “coercive collection practices” the Presiding Officer found that “the charges of \$20,662.10 for the demurrage¹, storage, and additional chassis use for these containers were improper and violated the Shipping Act.” (*Id.* at 54.)

III. LAW AND ARGUMENT

The Commission should vacate in limited part the Initial Decision as it pertains to Respondents’ allegedly coercive collection practices. Complainant TPG Pressure, Inc. (“TPG”) failed to demonstrate by a preponderance of the evidence that Respondents actually withheld any of TPG’s containers. Accordingly, TPG likewise failed to establish that Respondents’ conduct was the proximate cause of any damages TPG allegedly suffered. Further, even if Respondents *did* withhold TPG’s containers, TPG failed to establish—and the Initial Decision incorrectly concludes—that this conduct was Respondents’ “practice.” Finally, the Initial Decision ignores the plain language of Epic’s tariff, which grants Epic a contractual lien on cargo in Epic’s

¹ Elsewhere in the initial decision, the Presiding Officer characterizes these particular charges that allegedly accrued as “detention” charges. (*See, e.g.*, Initial Decision at 46.)

possession to secure payment of unpaid charges. Such a provision is valid and perfectly legal, as recognized by the United States Supreme Court for more than a century.

A. Standard Of Review.

When the Commission reviews exceptions to an initial decision, it normally has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore generally reviews the initial decision’s determinations *de novo*. *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015).

B. The Record Does Not Support The Initial Decision’s Conclusion That Respondents Withheld Three Of TPG’s Containers To Coerce Payment For Other Shipments Or That Such Conduct Proximately Caused Any Damages.

The Initial Decision’s sparse factual analysis was insufficient to conclude that Respondents *actually* withheld any of TPG’s containers. The Presiding Officer impermissibly overreached in making her conclusions based on that exceptionally sparse factual analysis. The Presiding Officer appears to have relied on the following facts to determine that Respondents improperly withheld three of TPG’s containers:

- Three containers (CMAU4830227, CMAU4265316, and DRYU9980059) were released from APM Terminals and picked up by Mecca Trucking on May 10, 2022. (Initial Decision at 37.)
- APM Terminal charged \$4,700 in demurrage for each of the three containers. (*Id.*)
- On May 17, 2022 and May 18, 2022, Respondents sent TPG emails stating that “[n]o additional freight for TPG will be delivered until Omni receives the \$1.7 Million owed for freight handled and delivered.” (*Id.* at 36.)
- Each of the three containers were not delivered until May 27, 2022. (*Id.* at 37.)

Based on these facts, the Presiding Officer somehow erroneously concluded that “Respondents’ emails suggest that the reason these three containers were not delivered more quickly was because they were being held to coerce payments on unrelated containers.” (*Id.*) The Presiding Officer

further found that “[e]ven if the containers were released by the terminals before the alleged threats, the delay in delivery, coupled with the emails, support a finding of coercive collection practices.” (*Id.*)

This conclusion is not grounded in the evidence. It entirely ignores two crucial—indeed, dispositive—facts. First, the demurrage charges for each of the allegedly affected containers were accrued and paid by Epic through May 10, 2022. (*See* Respondents’ Brief at 18 (citing Respondents’ Appendix (“RApp”) 179-181 and EPIC_0026753-55)); *see also* CApp006611 (showing demurrage “Paid Thru: 5/10/2022” for each of the allegedly affected containers).) In other words, even assuming, as the Initial Decision does, that the May 17 and May 18 emails marked the beginning of Respondents’ “coercive collection” campaign, the demurrage charges for the three allegedly affected containers could not have accrued as a result of those efforts, because the charges were paid a week *before* the emails. Second, each of the three containers were delivered on May 27, 2022, which was a week *before* TPG made the payments that it was allegedly coerced into making. (Respondents Brief at 18 (citing Complainant’s Appendix (“CApp”) 008890) (FMC_C00044119) (showing container CMAU4830227 “confirmed delivered 5/27/2022” and invoice approved for payment on June 7, 2022)); *see also* CApp006427 (container CMAU4264316 “confirmed delivered 5/27/2022”); CApp007427 (container DRYU9980059 “confirmed delivered 5/27/2022.”).) In short, TPG’s jumbled chronology belies the lack of a coherent theory of causation. These facts do not make it plausible that Respondents were withholding cargo in order to coerce payment.

The reason for the 17-day lag time between pulling the three containers from APM Terminals in New Jersey and delivering them to their final destination is not clear from the record. But in the absence of such clarity, particularly without facts indicating that Respondents

intentionally caused delay, the facts should be construed against TPG, as the party with the burden of proof. *Director, Office of Workers Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994) (“[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.”). Even if the Commission agreed that Respondents engaged in “coercive collection practices” (which it should not), no damages for demurrage should result because, “the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). Again, the demurrage charges were paid through May 10, 2022, a week before the alleged threats to withhold the cargo. Thus, there is no “proof of pecuniary loss.”

C. The Record Does Not Support The Initial Decision’s Conclusion That Respondents Had A “Practice” Of Engaging In Coercive Collection Practices.

The Initial Decision does not cite facts to support a finding that Respondents withheld cargo to coerce payments on a “normal, customary, and continuous” basis, as required by 46 C.F.R. § 545.4(b). Even a cursory review of the record demonstrates that Respondents did not. To support the finding that Respondents maintained a “practice” of coercively extracting payments from TPG, the Initial Decision wholly relies on the mere fact that Epic contracted for a general lien in its tariff and in its terms and conditions. (Initial Decision at 45.) The Presiding Officer found, without citation to any law or precedent, that “these coercive collection practices were part of [Respondents’] written policies and procedures, which is sufficient to find that they were a practice occurring on a normal, customary, and continuous basis.” (*Id.*)

This reasoning is circular, and it guts the meaning of the “practice” element of a claim under § 41102(c). Under 46 C.F.R. § 545.4(b), the Commission interprets a claim for reparations under § 41102(c) to require a showing that “[t]he claimed acts or omission of the regulated entity

are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b) (emphasis added). The Presiding Officer failed to consider whether Respondents’ actions were “occurring,” and instead simply relied on the contractual provisions of Epic’s tariff and terms and conditions to find a “practice” (without citing any Commission precedent). This result is untenable. It erroneously conflates “written policies and procedures” (Initial Decision at 45) with a “practice” under § 41102(c) and § 545.4(b).

In *Ngobros and Company Nigeria v. Ocean Cargo Link, LLC et al.*, the Commission vacated an initial decision under similar circumstances. Docket No. 14-15, 2019 WL 7631708 (F.M.C. Dec. 17, 2019). There, the initial decision found that the respondents “fail[ed], through single or multiple actions or omissions, to fulfill obligations” in violation of the Shipping Act. *Id.* at *3. The Commission held that “the § 41102(c) standard [the presiding officer] applied, which permits finding a violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent.” *Id.* (citing Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018).) The Commission held that, “[b]ecause the ALJ did not consider whether [respondent’s] conduct occurred on a normal, customary, and continuous basis, the Commission vacates the Initial Decision as to OCL and remands this matter for application of [the proper] standard.” *Id.* (“Properly interpreted, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis.”).

As Respondents explained in their Brief, under longstanding Commission precedent, “[t]he essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct.” *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187 (Examiner 1964) aff’d 8 F.M.C. 181 (FMC 1964) (holding that six total instances charging

unpublished rates was not a practice of the respondent). A single instance of withholding cargo—even if found to have occurred—cannot and does not constitute Respondents’ “practice.”

Here, similar to *Ngobros*, the Presiding Officer failed to consider whether Respondents’ actions were actually “occurring” on a “normal, customary, and continuous basis.” As it did in *Ngobros*, the Commission should vacate the Initial Decision’s “coercive collection practices” findings.

D. The Initial Decision Disregards Respondents’ Contractual Lien Rights.²

Although, as discussed above, TPG (1) did not establish that that Respondents withheld any cargo to coerce TPG’s payments, and (2) even if it did, TPG did not demonstrate any actual injury, Respondents’ May 17 and May 18 emails to TPG were simply an exercise of their contractual lien rights.

1. The Parties Contractually Agreed To Epic’s Lien.

The Initial Decision goes out of its way to ignore the plain and unambiguous language of Epic’s tariff, which grants Epic a lien “on any and all property . . . of [TPG] in its actual or constructive possession, custody or control or en route, for all claims for charges, expenses or advances incurred by [Epic] in connection with this shipment, or any previous shipment.” Epic’s tariff Rule 8-020, Bill of Lading, Item 23 (CAp010842-43).³ The Shipping Act should not be interpreted to interfere with parties’ contractually bargained-for rights.

² If the Commission agrees with Respondents’ arguments in Section III.B. and Section III.C., *supra*, the Commission need not reach the merits of Respondents’ arguments in this Section.

³ Likewise, Epic’s Terms and Conditions granted Epic a lien “on the Goods and on any property of the Customer coming into [Epic’s] actual or constructive possession or control as to any unpaid Charges including, without limitation, for monies owed to [Epic] with regard to the shipment on which [Epic] is claiming the lien, a prior shipment, or both, including, without limitation, freightage, dead freight, demurrage, detention, and for any expenses that [Epic] incurs for storage.” Epic’s Terms and Conditions, Section 13(a) (RApp358).

Federal courts around the country view this issue differently than the Presiding Officer. *See, e.g. In re World Imports Ltd.*, 820 F.3d 576 (3d Cir. 2016) (agreement between furniture company and ocean carrier that lien which carrier acquired and never waived upon goods already delivered would attach to any cargo that later entered any carrier's possession and continue to secure furniture company's debt for services associated with the delivered cargo was valid and enforceable). As the United States Supreme Court held over a century ago:

Parties, however, may frame their contract of affreightment as they please, and of course may employ words to affirm the existence of the maritime lien, or to extend or modify it, or they may so frame their contract as to exclude it altogether. They may agree that the goods, when the ship arrives at the port of destination, shall be deposited in the warehouse of the consignee or owner, and that the transfer and deposit shall not be regarded as the waiver of the lien; and where they so agree, **the settled rule in this court is, that the law will uphold the agreement and support the lien.**

The Bird of Paradise, 72 U.S. 545, 555 (1866) (emphasis added). Here, the parties unequivocally agreed to Epic's ongoing lien. According to the United States Supreme Court, "the law will uphold [that] agreement and support the lien." The Commission should examine its precedents that are inconsistent with this principle.

2. *The Exercise Of The Lien Is Consistent With The Incentive Principle.*

Further, the Presiding Officer reached the flawed conclusion that "[p]rohibiting common carriers with billing disputes from holding cargo unrelated to the dispute is consistent with the incentive principle because it will keep commerce flowing and alleviate port congestion." (Initial Decision at 36.) Just the opposite is true. If a common carrier, like Epic, could not contract to retain its maritime lien to secure payment for freight already delivered, then to protect itself, the common carrier would be more likely to require payment from shippers and consignees before the release of each shipment. This would, in turn, slow the flow of commerce. Indeed, the Third Circuit has described this scenario as a "more protracted, commerce-restrictive process of

withholding each shipment until its attendant lien [is] satisfied.” *In re World Imports Ltd.*, 820 F.3d at 592. Indeed, the “relevant fact is not simply that the most recent shipment was held up, but that numerous prior shipments were *not* held up because the [carrier] had assurances that it could release those shipments conditionally, without surrendering its liens.” *Id.* at 589-90. A contractually modified lien, like the lien contained in Epic’s tariff, “promotes commerce over a series of transactions by ensuring that the carrier can retain its secured claims in an ongoing business relationship.” *Id.* at 590.

Contrary to the Presiding Officer’s conclusion that the Initial Decision’s findings are consistent with the Incentive Principle, requiring a carrier to waive its lien on freight after delivery would slow the flow of commerce. Thus, as a matter of policy, a general, ongoing lien is consistent with the Incentive Principle.

3. *Respondents Did Not Hold Cargo “To Obtain Additional Fees” Or To “Collect An Unreasonable Debt.”*

The Presiding Officer notes in the Initial Decision that “cargo cannot be held to obtain additional fees or to collect an unreasonable debt.” (Initial Decision at 35.) To the extent the Presiding Officer’s dicta implies that Respondents withheld cargo to obtain “additional fees” or to collect an “unreasonable debt,” that suggestion is unsupported. Indeed, the Initial Decision itself determined that Respondents’ charges were reasonable, with the exception of limited mark-ups. No evidence exists that Respondents sought to extract “additional fees” from TPG. Respondents simply demanded reimbursements and payment of fees that were earned, due, and owing.

IV. CONCLUSION

For the reasons stated herein, the record does not support the Initial Decision’s erroneous findings that (1) Respondents engaged in “coercive collection practices” in violation of the Shipping Act; or that (2) such conduct caused TPG damages. Therefore, the Commission should

vacate the Initial Decision's findings of fact and conclusions of law relating to "coercive collection" practices, while otherwise upholding the balance of the generally well-reasoned Initial Decision.

Dated: October 4, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 4th day of October 2024, a true and correct copy of the foregoing was served via electronic mail on:

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